

Rule-of-law backsliding, sustainability rollback and international business in the Trump era

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Abstract

Purpose – This viewpoint paper examines how the return of the Trump administration is reshaping international business, sustainability governance and global institutions. Organised as a structured bricolage of three interrelated viewpoints, it analyses how rule-of-law backsliding, sustainability rollback and business-and-human-rights reconfiguration challenge responsible business and sustainable development frameworks.

Design/methodology/approach – The paper adopts a conceptual and qualitative approach, combining policy and document analysis with critical perspectives from international business, international political economy and political science. It synthesises three viewpoints on EU sustainability rollback, neoliberal capitalism and the politicisation of business and human rights.

Findings – Recent political shifts contribute to the rollback and contestation of sustainability and human-rights governance. Across the three viewpoints, rollback through politicisation emerges as a common mechanism: sustainability regulation, Environmental, Social and Governance, Diversity, Equity and Inclusion,

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due diligence and human rights are weakened by being reframed as anti-competitive, ideological, sovereignty-threatening or hostile to national economic interests.

Research limitations/implications – Future research should examine how firms, states, business associations and civil society actors weaken, contest or defend sustainability and human-rights governance, including beyond the US–EU axis.

Practical implications – Managers and policymakers need resilient governance, due-diligence and political-risk systems for fragmented sustainability and human-rights regimes.

Social implications – Rollback may weaken climate, labour-rights and social-equity efforts, with consequences for suppliers, workers and communities embedded in global value chain.

Originality/value – The paper contributes to international business scholarship by linking geopolitical shifts, regulatory change, corporate strategy, neoliberal political economy and business-and-human-rights governance. It shows that the Trump II era is not merely a period of policy reversal or heightened political risk, but a deeper destabilisation of the legal, institutional and normative conditions on which responsible international business depends.

Keywords Global value chains, Due diligence, Geopolitical risk, Business and human rights, Rule-of-law backsliding, Sustainability rollback, Corporate political activity, Neoliberalism

Paper type Viewpoint

1. Introduction

International business (IB), as subdiscipline of business and management and as an area of organisational practice, depends not only on markets, institutions and cross-border coordination, but also on the continued credibility of law itself. The contemporary Trump era cannot be understood simply through marked policy change or ideological alternation. Instead, it signifies a wider pattern of lawlessness, disregard of law and bad-faith governance (Driesen, 2018; Kingsbury, 2023). Arguably, the Trump era functions as a “rule-of-law stress test” (Tamanaha, 2025), which challenges constitutional, regulatory and multilateral orders. Legal discussions show how executive actors can exploit pretext and delay, exert pressure on the judiciary, and use institutional asymmetries to push governance towards the outer boundaries of legality (Driesen, 2018). Rather than treating these developments as ordinary political turbulence, this paper starts from the premise that the legal and institutional foundations underpinning international business are themselves being destabilised.

For international business, the erosion of the rule of law is not simply a background constitutional concern. It affects confidence in the rules underpinning markets, including contract enforcement and weakens the legitimacy of transnational economic governance (Adarkwah and Benito, 2023; Zurn *et al.*, 2012). Once legal institutions become vulnerable to intimidation, pretextual reasoning, selective enforcement and executive overreach, firms confront not just political risk but a more profound condition of institutional uncertainty. Within the canon of international business (see e.g. Cavusgil *et al.*, 2025; Hill, 2023; Shenkar *et al.*, 2022), however, the legal environment is usually treated as a foundational but relatively stable dimension of national context, often discussed alongside culture, institutions and political systems as part of the comparative environment to which firms adapt. Even where IB scholarship has become more attentive to socio-political environments, political networking (Hadjikhani and Ghauri, 2001), non-market strategy (Frynas *et al.*, 2017), deglobalisation and nationalist friction (Sinkovics *et al.*, 2018), these lenses do not fully capture the present conjuncture. What is now unfolding under the Trump regime is not simply a more politicised or heterogeneous external environment, but a deeper fracturing of the legal and institutional order itself.

Up until the end of 2024, much IB and responsible and sustainable business scholarship assumed a broadly forward-looking trajectory, centred on how to accelerate the transition towards sustainability and how to embed corporate strategies within the planetary boundaries (Sinkovics *et al.*, 2022; Steffen *et al.*, 2015). The sustainable development goals (SDGs), for example, were widely accepted as a practical and viable coordinating framework for addressing global challenges such as climate change and poverty (Cuervo-Cazurra *et al.*, 2022). Scholars and practitioners debated how multinational enterprises (MNEs) could go beyond superficial corporate social responsibility (CSR), not merely reducing harm but making meaningful contributions (Sinkovics *et al.*, 2022), act as a force for good, and embed deep responsibility in their core strategies (Jones *et al.*, 2025). International business policy processes were increasingly framed through values, norms and principles governing trade, investment and corporate behaviour. The world's dominant actors and stakeholders have increasingly framed sustainability policy through the 17 Sustainable Development Goals (SDGs), while climate commitments have become embedded in wider systems of global governance, regulatory expectation and corporate adjustment (United Nations, 2015). For international businesses, these frameworks now shape not only climate-risk management and disclosure practices, but also legitimacy strategies, policy engagement and, in some cases, efforts to delay, dilute or redirect more demanding forms of climate action (Ekberg *et al.*, 2022; Hsueh, 2025).

However, this paper argues that such assumptions now require new thinking. The return of Trump to the US presidency has dramatically upended this policy trajectory. Instead of focusing on how to speed up sustainable transformation, global governance is now unravelling under an approach of “flooding the zone”, where the US administration bombards institutions with unconstitutional challenges to previous governance frameworks (Stelter, 2021). The immediate problem is no longer only how firms contribute to sustainability transitions, but how those transitions are destabilised when law itself becomes instrumentalised, selectively enforced or openly challenged. One consequence of this law-fragmenting environment is that business actors are offered new opportunities to contest, dilute or strategically reshape regulation. Such assumptions also rested on the expectation that firms could move beyond compliance and create meaningful social and economic impact. Jones (2023) provides historical evidence that companies can indeed do so. Yet we are now witnessing the opposite: a return to short-termism, corporate opportunism and nationalist deregulation, where fossil fuel interests and climate denialism take precedence over planetary health (Gorman and Gorman, 2021).

This regression should not be understood simply as a sudden collapse triggered by Trump alone. Rather, it can be seen as rooted in a deeper neoliberal logic that has long privileged competitiveness, deregulation, market primacy and capital accumulation over ecological limits, redistribution and democratic accountability (Brown, 2015; Monbiot and Hutchison, 2024). In this sense, the current moment is less a complete break than a more aggressive reassertion of an older doctrine that has often concealed itself as common sense, economic necessity or the only viable model of governance (Monbiot and Hutchison, 2024). From this perspective, the weakening of sustainability-oriented governance is not merely an aberration, but the intensification of longer-standing political-economic tendencies in which environmental and social protections are subordinated to business interests and growth imperatives. Trumpism clearly radicalises this logic and horrifies people who are hopeful for positive futures, but does not create it from scratch (Harvey, 2005).

Moments of crisis are especially important in this regard. As Klein argues, shock conditions often create openings in which far-reaching market reforms, privatisations and transfers of power can be pushed through while societies are disoriented and less able to

resist (Klein, 2008). Read in this light, the contemporary unravelling of social and environmental governance is not only a story of ideological backlash, but also of strategic crisis exploitation. In this sense, “flooding the zone” can be understood as a strategy of disorientation that overwhelms mediating institutions and fragments shared truth, thereby creating the conditions on which shock-doctrine-style restructuring builds (cf. Illing, 2020). The atmosphere of legal fragmentation, institutional overload and political chaos creates precisely the conditions in which deregulatory and extractive agendas can be advanced more rapidly, often under the guise of necessity, emergency or competitiveness. What appears as rupture is therefore also continuity: a more openly coercive and law-disregarding variant of neoliberal restructuring (Brown, 2015; Klein, 2008; Tamanaha, 2025).

The consequences are serious. Instead of focusing on how to accelerate sustainable business transformations, we now face the urgent task of preventing a broader societal, institutional and ecological unravelling. Diamond’s work on collapse is instructive here, not as a deterministic prediction, but as a reminder that societies can undermine their own long-term viability when short-term interests, environmental degradation and failures of collective response converge (Diamond, 2005). At the same time, as Klein’s (2008) notion of the shock doctrine suggests, moments of disruption and disorientation can also be used to deepen market-driven restructuring and rollback. Read together, these perspectives illuminate how the current climate of institutional degradation, legal fragmentation and political chaos may serve not only as a symptom of crisis, but also as a mechanism through which extractive and deregulatory agendas are advanced.

For academics, this changing environment creates a parallel challenge. Should we continue with slow, considered research and ethics-based engagement (Sinkovics *et al.*, 2025), or confront more directly a deteriorating public and policy landscape marked by misinformation, bad-faith argumentation and institutional degradation (McIntyre, 2018; Snyder, 2017)? For international business scholars in particular, the issue is no longer confined to corporate, social and environmental governance alone. It also concerns the status of science-based inquiry, the defence of evidence and truth and the relevance of ethical scholarship in a context where legal constraints are weakened, facts are strategically contested and political and corporate interests increasingly shape what counts as legitimate knowledge. In such a setting, practices once treated as exceptional misconduct – denying evidence, blaming victims and attacking critics – risk becoming normalised features of political and business life (Freese, 2020). This raises uncomfortable questions for IB research more broadly: whether traditional analytical frameworks remain adequate, whether political neutrality is still tenable, and how scholars should respond when the institutional foundations of responsible, evidence-based debate are themselves under pressure.

This neoliberal regression is not only deregulatory. In the contemporary US context, it is also geopolitical and hierarchical. Under an America First logic, law, rights and corporate responsibility are increasingly subordinated to strategic leverage, selective coercion and a more explicitly neo-imperial ordering of economic relations. In this setting, international business cannot be understood only through the language of adaptation to market and institutional difference. It must also be analysed in relation to power asymmetries, coercive statecraft and the reassertion of a hierarchical global order in which business strategy, foreign policy and executive authority become more tightly intertwined (Zagelmeyer, 2026).

Taken together, these developments suggest that recent changes should not be treated as a temporary political interruption, but as a multi-level transformation in the legal, political, institutional and epistemic conditions of international business. This paper argues that IB scholars must pay greater attention to rule-of-law backsliding, authoritarian legalism and the ways in which business strategy, neoliberal governance and geopolitical coercion now

intersect. It also highlights a broader challenge for the field: how to sustain ethical, science-based and truth-oriented scholarship in an environment increasingly shaped by bad-faith politics, misinformation and institutional degradation. By tracing how business actors respond to and benefit from this changing environment, and by situating these responses within broader neoliberal and neo-imperial dynamics, the paper extends international business debates beyond conventional accounts of political risk, non-market strategy and sustainability transition.

The remainder of this viewpoint article is organised as a structured bricolage of three interrelated contributions. Rather than developing a single linear argument, the paper brings together three analytical entry points into the Trump II era and its implications for international business. Curran examines business reactions to protectionism and sustainability rollback, highlighting how regulatory uncertainty is mobilised by some actors to weaken existing commitments while others seek to defend them. Montero-Teran situates these developments within the structural limits of neoliberal capitalism and asks whether growth-oriented, market-based responses are adequate to deal with the climate crisis. Zagelmeyer analyses the reconfiguration of business and human rights under the Trump II administration, showing how rights, responsibility and corporate accountability are increasingly reframed through geopolitical and neo-imperial logics. Together, these contributions argue that the current conjuncture is not merely a period of political risk or policy reversal, but a deeper destabilisation of the legal, institutional and normative foundations on which international business scholarship and practice have long relied. The paper concludes by bringing these viewpoints together and outlining their shared implications for international business scholarship, particularly around regulatory rollback, fragmented governance, corporate agency and the limits of firm-level adaptation under conditions of geopolitical disruption.

2. Business reactions to Trump and the rise of protectionism (Louise Curran)

2.1 Introduction

Shifts in the US have had important impacts on regulation of business activity in the EU. Even before Trump returned in the White House it was clear that his second term would be more protectionist and disruptive than his first. The threat of new tariffs, doubling down on support for US-based manufacturers and a push back on diversity efforts and sustainability objectives were clearly signalled in the campaign. At the same time the EU has experienced its own populist turn – in the June European Parliamentary elections an unprecedented number of far-right candidates were elected. Traditionally hostile to regulating business and to efforts to address the climate crisis, the rise of these actors offered a potential opportunity to bring a de-regulation agenda to the fore in the EU.

The Draghi Report on EU competition arrived in this complex shifting context. It underlined the importance of prioritising the competitiveness of EU industry over regulation. For example, it refers to the term “regulatory burden” 8 times. Twice as often as “sustainability”. This provided the backdrop to many EU proposals in this new legislative term. The Commission announced its intention to reduce this “regulatory burden” and enable EU business growth through “simplification” (CEC, 2025a). Sustainability and environmental regulation have attracted particular attention. One major new initiative is the proposed “Omnibus I” package, where the Commission has proposed to “simplify” several different sustainability regulations (CEC, 2025c). In so-doing it is rewriting very recent laws, most of which are not even in application yet. Why this sudden turn around?

2.2 *Business and the backlash*

While the broader political context is important, it is also worth considering the role of business in this roll back of EU regulation. European business lobbies have long complained about extensive regulation and the last Commission was particularly productive in terms of new rules. In the context of the Green Deal – a key flagship policy of the first Van der Leyen Commission – which aimed at reducing emissions by 55% by 2030, new regulations were approved covering everything from eco-design of products to phasing out petrol cars. The Draghi report indicates that 13,000 acts were passed in the last legislative term and contrasts this with the 3,500 in the US. In the area of sustainable trade, a non-exhaustive list includes the Carbon Border Adjustment Mechanism (CBAM), the EU Deforestation Regulation (EUDR), the Forced Labour Regulation (FLR) and the Corporate Sustainability Due Diligence Directive (CS3D). While not a trade measure, this latter Directive aims to make companies responsible for the impacts of their Global value chains (GVCs) on environmental, human and social rights and this will have important indirect effects on trade.

These different measures respond to several objectives which are sometimes contradictory. Some address business concerns about the lack of a level playing field with non-EU competitors which are subject to lesser regulation (CBAM, EUDR), others to long standing calls from civil society to address the negative externalities of EU consumption (CS3D, FLR, EUDR). They have often been controversial with EU businesses. Throughout the debate, many business actors have argued against strong regulation, supporting softer voluntary approaches, questioning the cost-benefit trade-offs and highlighting the difficulties the new regulation poses for SMEs (BDI, 2023; BusinessEurope, 2022; Curran *et al.*, 2026). Following the Russian invasion of Ukraine, and the ensuing economic shock, energy-intensive industry also highlighted that, in a period of great turbulence, there was a need to prioritise protecting jobs and competitiveness (Eurofer and industriALL, 2022). Despite these concerns, the basic building blocks of much of the regulation in the Green Deal went through. Although several laws, including CS3D, were watered down to some extent, their underlying objectives were usually retained.

Yet a few months later, under the same Commission President, several are subject to major efforts for “simplification”. It seems clear that, although deteriorating geo-politics and Trump’s weaponisation of dependence created a fertile ground for rising competitiveness concerns, business interests have also been important in this shift. This contribution draws on interviews undertaken over the period 2023–26 with key actors in the European Parliament (EP), Commission, trade associations, trade unions and NGOs. The informants received anonymity, so I refer to them only by their institution and interview date. The EU peak business organisation – Business Europe – has long argued for lighter regulation and more light-touch efforts to address sustainability concerns. Their 2022 commentary on the CS3D notes: “*European initiatives on due diligence must be enabling and educational in nature rather than punitive and prescriptive.*” (BusinessEurope, 2022). Although trade associations didn’t tend to argue against the need for regulation to secure sustainable value chains *per se*, as one interviewee from the European Parliament (EP) noted in a 2023 interview, “they want a paper tiger” (Interview, April 2023). Given this stance, in many ways the advance of the green agenda in the last legislative term was a surprise. As another interviewee from an NGO remarked “the stars were aligned” (Interview, March 2024).

Yet they are now realigning. This realignment of the stars seems to be the result of a combination of darkening trans-Atlantic relations, rising concerns about the competitiveness of EU industry and a wider backlash against the green agenda that has only been accelerated by the increased cost of living since the invasion of Ukraine (and now the war with Iran). In this heady mix, the arguments from industry about the need to focus first and foremost on

retaining core industries and jobs fell on particularly fertile ground. As one interviewee in the EP observed recently, CS3D: “[...] *just got caught up in a perfect storm of timing.*” (Interview, December 2025).

Certain business interests took advantage of this perfect storm. Reclaim Finance, an NGO, have compared the position of certain business lobbies with the proposed changes in core sustainability regulations (Reclaim Finance, 2025). They note the similarity of these proposals and the Commission’s draft changes in the “Omnibus”. For example, the idea to only require that companies undertake due diligence on Tier 1 suppliers was a demand within a joint letter from the industry associations in Italy, France and Germany, as well as the US Chamber of Commerce. Indeed, US business has been particularly critical of CS3D and a recent NGO investigation highlighted both their intensive lobbying efforts across the Commission, Parliament and Member States and the correlation between their positions and the Omnibus proposals (Ollivier de Leth, 2025).

At the same time US lawmakers have been putting pressure on the EU. Attorney generals from 16 states wrote to several US MNEs, including Meta, highlighting that CS3D embodied “*anti-American values*” – like the need for a “*socially fair economy*” – and that conforming to it would be unlawful. They urged them to continue to reorient “*their ill-begotten DEI and ESG practices*” in line with the policies of the Trump administration (ACCC, 2025; Rasche, 2025). That administration was also very critical, such that a reference to the need to take into account US concerns on CS3D was duly included in the Framework Agreement the EU negotiated in an effort to avoid “reciprocal” tariffs in summer 2025 (CEC, 2025b).

Not all American concerns were taken into account in the final Directive. The extra-territorial nature of the law – which is vital to securing a level playing field – remains. However, the new law conforms to one key demand of the US fossil fuel industry – the deletion of the requirement for companies to have a transition plan towards net zero. At the same time, the revised Directive also increased the threshold for companies to be covered by the law to 5,000 workers, meaning that certain member states will have no companies at all covered by the requirements of the Directive (Gros, 2025). This corresponds with a long-standing business demand to reduce the burden of due diligence regulation on SMEs.

It is worth noting that business is by no means united in pushing this deregulation agenda. For some companies, this is a moral question – they really want to make sure their value chains are “clean” and they have integrated the wider objectives of sustainability discussed above. For others, it is more about the fact that they had extensive sunk costs and needed a level playing field (Mendiluce, 2025). In any case, many companies have come out in support of the EU’s green regulations, including the CS3D[1]. However, together with NGOs and trade unions that have long been pushing for more effective regulations of GVCs, they were frustrated by limited access to policymakers and a perceived lack of interest in taking into account voices that were not in tune with the desired trajectory. As one trade union representative recently said to me: “*We were listened to, but not heard*” (Interview, January 2026). A progressive business actor reported that even getting listened to by the new generation of MEPs in a more ideological parliament was difficult: “*It’s not about coming with a good, legislation that makes common sense, because under usual circumstances, even the super far-right parties would consult, will be open to hear us, at least*” (Interview, December 2025). It is extremely worrying that policymakers seem to be favouring traditional business voices over those who are seeking to advance a more sustainable business model. The whole policy-making apparatus in the EU has long been based on extensive consultation and discussion, where key interests can be listened to *and* heard.

In the end, even some mainstream businesses were not onboard with certain proposals from the Commission. The highly controversial idea to restrict due diligence to Tier 1,

favoured by US companies, as well as German industry, was criticised by Business Europe, who called for a return to the “risk-based approach” inspired by voluntary standards ([BusinessEurope, 2025](#)). This approach was finally reintegrated into the revision, a result that was seen as a victory for civil society and progressive businesses who have long adopted this approach.

It is clear that, in the current very conflictual and economically challenging context, certain business actors, including a well organised group of US firms, are seeking to leverage the opportunity to roll back EU regulations that they have long resisted. Yet others are much more circumspect about the wisdom of such moves. Investors representing €6.6tr in assets called for the EU to: “*preserve the integrity and ambition*” of its sustainable finance framework ([Eurosif, 2025](#)), while others have even cooperated with NGOs and multi-stakeholder initiatives to call on decision makers to hold their nerve and continue with the agenda of the Green Deal ([Amfori, 2025](#)). In my interviews, civil society actors saw this as a tussle between the “dinosaurs” and the “progressives”. The sustainability Omnibus was the first of many. As discussed below, there are other deregulation efforts on the way. The final outcome of this conflict of agendas within EU business and how they play out in the legislative process will have long term impacts both in Europe and far beyond. IB scholars would do well to follow this debate and subject it to academic scrutiny.

3. Neoliberalism, international business, and the climate crisis: environmental regulatory rollback and the need for a post-growth paradigm (Heidy Montero-Teran)

3.1 Introduction

Building on Curran’s analysis of sustainability rollback, business lobbying and the weakening of inclusive democratic policymaking in the EU, this section examines how such developments are structurally connected to contemporary environmental crises. These dynamics unfold against a wider background of geopolitical instability, including the protectionist orientation of Trump II, the rise of far-right populism in Europe and intensified uncertainty linked to war, displacement and economic insecurity ([Vision of Humanity, 2025](#)). However, the argument developed here is that these pressures are more than just short-term political disruptions. They also reflect deeper features of a neoliberal economic system organised around economic growth, deregulation and capital accumulation, with insufficient regard for social and ecological sustainability. In this context, anthropogenic climate change can be understood as a systemic outcome of environmentally unsustainable economic activity rather than as an external problem to be managed after the fact ([Vision of Humanity, 2025](#)).

These developments raise questions about the effectiveness and future direction of environmental governance, particularly within the European Union (EU). The evolving regulatory landscape has significant implications for MNEs, especially regarding the organisation and sustainability of their GVCs. Moreover, recent dynamics indicate MNEs are not merely regulatory subjects but increasingly active participants in shaping environmental sustainability regulations.

Against this backdrop, this point of view examines the interconnections between neoliberalism, international business and the climate crisis, while exploring how these overlapping dynamics have contributed to the rise of authoritarian political tendencies. It further highlights the growing need for alternative, post-neoliberal paradigms to address contemporary sustainability challenges.

3.2 Neoliberalism, international business, and the climate crisis

Neoliberalism is a political-economic project that prioritises market-based governance, liberalisation and capital accumulation in shaping modern economic and social relations ([Campbell, 2005](#); [Fine and Saad-Filho, 2016](#); [Saad-Filho, 2011](#)). The fundamental principles

such as liberalisation of foreign direct investment, trade openness and financial deregulation (Fine and Saad-Filho, 2016), facilitated the trans-nationalisation of production, enabling the expansion of MNE-centred GVCs. In this sense, MNEs and GVCs became the primary vehicles of neoliberal globalisation.

Neoliberalism's emphasis on market efficiency and rational self-interest (Colás, 2005; Saad-Filho, 2011) closely informs international business's traditional focus on firm-level optimisation and competitive advantage. Through MNEs and GVCs, neoliberalism promotes a growth model based on extracting value from labour and natural resources, often reinforcing dependency, labour exploitation and ecological injustice. The climate crisis intrinsically links to international business phenomena, making the field a key analytical area. Limited theorisation of these structural dynamics in international business scholarship constrains understanding of the climate crisis.

The climate crisis is directly connected to neoliberal growth, which relies on continuous capital accumulation (Fine and Saad-Filho, 2016; Saad-Filho, 2011) and disregards ecological limits. Since global production and trade (central concerns of international business) are key channels through which emissions and environmental degradation occur, MNEs hold a significant influence in shaping climate outcomes. Although MNEs are expected to lead decarbonisation efforts across GVCs (Buckley and Liesch, 2022), their capacity is constrained by financialisation, a defining feature of neoliberalism that prioritises short-term shareholder returns over long-term investments required for environmental transitions.

3.3 *Neoliberalism and the rise of authoritarian governance*

Neoliberalism is characterised by interrelated political and authoritarian paradoxes that reveal systemic contradictions within its framework (Boffo *et al.*, 2019). While neoliberalism relies on democratic governance, it simultaneously undermines it, as strong state intervention is required to enforce market discipline and protect financial interests; for example, through austerity or deregulation policies implemented despite public opposition (Boffo *et al.*, 2019). This dynamic reduces democratic participation and erodes public trust in institutions, creating political conditions that distance citizens from decision-making processes and erode the collective capacity required for effective climate governance (Boffo *et al.*, 2019).

The authoritarian shift reflects the rise of leaders who embody an extreme version of neoliberalism (e.g. Trump, Milei, Noboa). These leaders intensify market-driven policies while consolidating power, denying climate change, dismantling environmental protection, suppressing climate activism and prioritising capital accumulation over social and ecological welfare. These dynamics are often reinforced through nationalist and exclusionary narratives that legitimise expanded fossil fuel extraction and restrict civic resistance (Boffo *et al.*, 2019). The rise of far-right governments and the radicalisation of neoliberalism demonstrate its *inability* to deliver decarbonisation or social equity, as a system cannot resolve crises it helped create.

These contradictions of neoliberal governance provide an analytical lens for understanding recent developments within the EU. Although the EU has historically positioned itself as a global leader in sustainability governance, the structural tensions embedded in neoliberal political economy render environmental regulation vulnerable to political contestation and economic prioritisation. During times of geopolitical instability and economic strain, these pressures may result in regulatory contraction, postponed policy decisions and the restructuring of governance frameworks that exert a direct influence on MNE's operations.

3.4 The rollback of EU environmental commitments and implications for international business

As discussed by Curran, political shifts in the USA and Europe, particularly those associated with the rise of protectionism and far-right ideologies, are associated with growing contestation of environmental and social regulatory commitments. At the macro level, these dynamics illustrate how political realignments can erode institutional stability and reshape the global regulatory landscape, with direct implications for MNEs and governance mechanisms (see Figure 1).

A central element of this *institutional erosion* is the reframing of environmental sustainability as a partisan or economically harmful agenda (Tocci, 2025). This rhetorical repositioning gained prominence during the Trump administration in the USA, where climate initiatives were frequently portrayed as detrimental to economic competitiveness. Policy actions reinforced this discourse, including the US withdrawal from the Paris Agreement, the use of tariffs as coercive economic tools and reported political pressure (penalties, US visa revocations) exerted during negotiations at international regulatory bodies such as the International Maritime Organization (Harvey, 2025). These policy actions contributed to tensions within multilateral climate governance and arguably influenced political debates on sustainability regulation beyond the USA, including in the European policy discussions discussed by Curran above, where competitiveness and the environmental sustainability regulatory burden have become increasingly salient concerns.

Within the EU, these external pressures have intersected with internal political dynamics, contributing to debates regarding regulatory scope, implementation timelines and policy coherence. Initiatives such as the regulatory simplification measures under the “Omnibus” proposal illustrate how sustainability regulations like CS3D become subject to renegotiation, delays and dilution (Amnesty International, 2025a; Thomadakis, 2025). Additional regulatory frameworks, including deforestation regulations and the planned phase-out of combustion-engine vehicles, have similarly encountered political resistance and/or pressure to postpone implementation (Thomadakis, 2025; Weise et al., 2025). Collectively, such

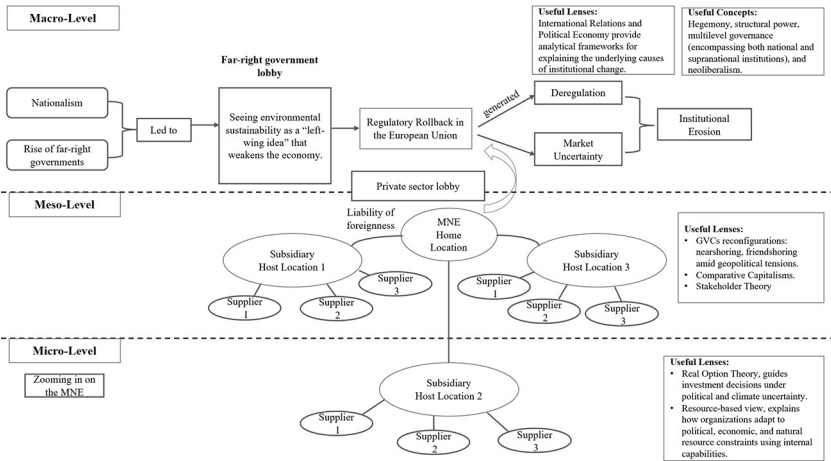


Figure 1. Multi-level rollback of climate governance

Source: Own author creation

developments generate *regulatory uncertainty*, undermine policy coherence and reduce transparency for firms operating across jurisdictions.

Institutional erosion carries significant consequences for corporate strategy and market functioning. Robust regulatory frameworks and voluntary sustainability initiatives have increasingly served as competitive differentiators for firms, enabling them to manage risks, attract investment and maintain stakeholder legitimacy. The weakening of efforts to generalise these frameworks risks reducing incentives for responsible corporate conduct while increasing uncertainty in global markets (Thomadakis, 2025). More broadly, deregulatory trends promote a “business-as-usual” approach at a time when accelerating climate risks demand coordinated and decisive institutional responses.

MNEs should not be conceptualised solely as passive recipients of institutional change. Conversely, companies often participate in regulatory shaping processes through lobbying, particularly during times of institutional upheaval (ECCJ, 2025). The lobbying associated with the EU’s proposed regulatory reforms offers a relevant case study. Civil society organisations have voiced their disquiet about policy-making procedures lacking clarity, dominance of industry stakeholders in meetings while excluding social actors, and the bypassing of essential climate-consistency evaluations (ECCJ, 2025). The observed trends suggest a potential for certain corporate players to strategically capitalise on regulatory ambiguity, thereby steering policy towards the protection of commercial interests.

This strategic initiative carries significant consequences for the stability of global governance. A perception that corporate interests hold sway over regulatory mechanisms may contribute to a decrease in trust in global governance institutions, potentially undermining the legitimacy and functionality of international regulatory systems. In addition, the weakening of established norms due to corporate lobbying efforts can decelerate progress on significant global issues like climate change and human rights governance, thereby worsening institutional fragmentation.

Incorporating these diverse viewpoints enables IB scholarship to progress beyond analysing how individual firms adapt, towards understanding how shifts in global power reshape the broader institutional contexts in which MNEs operate. This requires integration between IB scholarship and insights from international relations (IR) and international political economy (IPE). Concepts like structural power, hegemony, multilevel governance and neoliberal institutionalism offer robust analytical frameworks for investigating institutional disruption. For instance, structural power illustrates the capacity of predominant nations to alter international economic conduct via their command over fiscal mechanisms, supply networks and technological infrastructure (Guzzini, 1993). Multilevel governance perspectives help explain how political disruptions at the national level cascade across regional and supranational institutions, generating complex regulatory uncertainties for firms (Benz, 2019). Similarly, theories of hegemonic stability illuminate how the erosion of international leadership contributes to the weakening of multilateral governance structures (Gul, 2025).

At the firm level, institutional erosion increasingly influences strategic decision-making, particularly regarding GVC configurations. Rising geopolitical tensions have accelerated trends towards nearshoring, friend-shoring and regionalisation, reshaping firms’ exposure to political risk (Curran, 2026). The liability of foreignness has become more salient, as firms seek legitimacy in politically contested host environments. Analytical frameworks such as comparative capitalism and stakeholder theory can therefore help explain variation in corporate adaptation strategies across institutional contexts and stakeholder environments (Montero-Teran *et al.*, 2026).

Contemporary geopolitical realignments illustrate the interplay between political ideology, institutional stability and corporate strategy. Changes in sustainability governance frameworks should be interpreted as politically mediated processes shaped by interactions among state power, ideological alignment and corporate strategic behaviour. These developments highlight the necessity of adopting interdisciplinary methodologies for IB scholarships, which should integrate macro-political dynamics into the analysis of firm strategy and global governance. Considering increasing climate risks and persistent geopolitical volatility, understanding these interdependencies is essential for elucidating institutional evolution and corporate adaptation in the global economy.

3.5 *Toward a post-neoliberal international business paradigm*

Given the anthropogenic nature of the climate crisis and its roots in an economic system incapable of providing viable short- or long-term solutions ([Saad-Filho, 2011](#); [Saad-Filho and Feil, 2023](#); [Selwyn, 2021](#)), the present moment represents an opportunity to (re)consider alternative forms of social and economic organisation. For MNEs, this implies that achieving environmental sustainability requires transformations of international business models, extending beyond regulatory compliance. The traditional MNE dominance is increasingly *incompatible* with a just and sustainable green transition.

A potential early stage in the transition towards a post-neoliberal economy within GVCs involves reframing value creation, incorporating ecological regeneration and social well-being across all tiers of the value chain. From an operational perspective, this involves implementing fair pricing mechanisms, facilitating knowledge and technology transfer and promoting social empowerment. Within this emerging governance logic, both shareholder value and stakeholder accountability would be constrained by planetary boundaries.

Furthermore, MNEs should consider the re-localisation of their value chains to strengthen regional production networks. Such regionalisation would not only mitigate environmental impacts associated with long-distance transportation, but also foster regenerative value chains driven by circular economy principles. Regional value chains, with their smaller size and tighter control over regional inputs and outputs, can more efficiently employ local natural resources and incorporate recyclable materials back into production. This localised scope enhances the feasibility of implementing circular economy practices, particularly in regions with shared natural resource endowments.

An illustrative example of alternative organisational models within local value chains is the Urban Participatory Agriculture Project (AGRUPAR), an initiative led by the non-profit organisation CONQUITO with the support of the Municipality of Quito, Ecuador ([Conquito, 2025](#)). The initiative emphasises community-based crop planning adapted to local environmental conditions, with participants exchanging produce to improve food self-sufficiency and equity. Surplus goods are sold at municipality-organised fairs with regulated prices to protect producers from market volatility. All production is organic, ensuring nutritional and environmental quality. Overall, AGRUPAR supports regional value chains that strengthen social cohesion, community resilience and environmental stewardship rather than prioritising profit.

In the long term, structural transformation scenarios discussed in critical political economy literature emphasise processes such as the decommodification of nature and the redistribution of economic power ([Selwyn, 2021](#)) within business models. A gradual reduction of private capital accumulation could pave the way for new forms of ownership, ultimately leading to community-based ownership structures. Such transformations imply a shift from commodity-driven production systems towards needs-oriented provisioning systems, where production decisions are increasingly shaped by social reproduction

requirements and ecological constraints rather than aggregate consumer demand. Under such conditions, value chains could be reorganised to prioritise universal access to essential goods and services, including food, energy and housing, potentially supported by regional procurement systems and cooperative distribution networks.

Ultimately, these developments suggest that the future research agenda in international business may increasingly extend beyond firm-level competitiveness, MNE governance and efficiency-oriented value chain optimisation. Instead, analytical attention may shift towards questions related to ecological limits, degrowth-oriented development pathways and cooperative economic coordination. Such reorientation reflects the growing recognition that addressing the systemic drivers of the climate crisis requires analytical frameworks capable of integrating economic activity with social and environmental sustainability constraints.

4. Business and human rights under Trump II: politicisation, regulatory fragmentation, and corporate responsibility (Stefan Zagelmeyer)

4.1 Introduction

Curran's and Montero-Teran's sections show how sustainability governance is being reworked through regulatory rollback, competitiveness discourse, business lobbying and the renewed political salience of authoritarian governance. This section extends that analysis to business and human rights, arguing that human-rights governance is exposed to the same transformation: under Trump II, human rights are narrowed, politicised and selectively redeployed; Diversity, Equity and Inclusion (DEI) and Environmental, Social and Governance (ESG) are reframed as ideologically charged; and corporate responsibility is increasingly subordinated to national interest, sovereignty and geopolitical alignment.

Trump I provides a relevant baseline. Within the field of business and human rights, [Ganesan \(2018\)](#) reports an interruption to the slow shift from voluntary initiatives towards partially mandatory accountability, followed by rollbacks framed as deregulation, including reversals of disclosure and contractor-accountability measures and disengagement from transparency schemes. [Regilme \(2022\)](#) characterises Trump I as deprioritising human rights in favour of transactional bargaining and reduced multilateral engagement, including the withdrawal from the UN Human Rights Council in 2018. Trump II appears to revive these earlier tendencies while extending and sharpening them into a more explicit and programmatic reorientation of business and human rights governance.

This reorientation is also conceptual. [Dembour's \(2010\)](#) four-schools framework helps locate what is at stake: human rights are not a single settled category, but may be understood as natural entitlements, universalist legal principles, aspirational moral claims or elements of political discourse. Trump II draws selectively on this field. It elevates speech, religion and conscience within a narrower, national-interest-based rights vocabulary while marginalising more universalist claims concerning equality, sustainability and corporate accountability. This makes business and human rights a site of political contestation rather than a stable governance framework.

The paper examines four strategy documents as key texts through which Trump II-era objectives, strategic priorities and justificatory narratives are articulated: Project 2025's Mandate for Leadership ([The Heritage Foundation, 2023](#)), the 2025 National Security Strategy ([The White House, 2025](#)), the 2026 National Defense Strategy (US Department of War) and the 2026 US Department of State's Agency Strategic Plan ([US Department of State, 2026](#)). The analysis asks what this re-specification of rights implies for business and human rights debates, international business scholarship and MNEs.

4.2 Ideational foundations and policy objectives

4.2.1 Rights re-specification, and the delegitimation of DEI and ESG. The first ideational move in the Trump II documents is the re-specification of human rights. Rights are narrowed around speech, religion, conscience, formal anti-discrimination and sovereignty, while broader claims associated with equality, environmental responsibility, labour rights and corporate accountability are recast as ideological overreach. This changes the terms on which corporate responsibility is judged, shifting attention from whether firms comply with sustainability, equality or human-rights obligations to whether such obligations are treated as legitimate in the first place.

This re-specification connects directly with the regulatory rollback discussed by Curran and Montero-Teran. Sustainability governance, ESG, DEI and human-rights accountability are increasingly bundled together as constraints on competitiveness, corporate autonomy and national economic renewal. The 2025 National Security Strategy links domestic renewal to “rooting out so-called DEI and other discriminatory and anti-competitive practices” ([The White House, 2025](#), p. 6). Project 2025 recommends removing DEI language from federal rules, contracts and grants, dismantling related roles and weakening federal contractor compliance by targeting the Office of Federal Contract Compliance Programs and Executive Order 11246 ([The Heritage Foundation, 2023](#)). ESG is similarly reframed as ideological governance that distorts markets and conflicts with fiduciary obligations.

The State Department’s 2026 strategic plan anchors rights in “God-given natural rights” of Americans, emphasising speech, religion and conscience ([US Department of State, 2026](#)). It also recasts foreign regulation and multilateral or NGO initiatives as external constraints on Americans’ speech rights, especially where they put pressure on technology and media companies, and advocates retaliatory tools including visa bans and financial sanctions ([US Department of State, 2026](#)). Therefore, human-rights language is not fully abandoned. Some rights get elevated and others get marginalised based on their compatibility with domestic and geopolitical priorities, which involves the selective redeployment of human-rights language.

For MNEs, this creates a fragmented and politically charged responsibility environment. Firms operating across jurisdictions may face US federal pressure to abandon or relabel DEI and ESG commitments while EU due diligence trajectories, investor expectations, civil society monitoring and international standards continue to demand credible human-rights and sustainability governance. The result is not simply weaker regulation, but a challenge to the legitimacy of responsible business governance itself.

4.2.2 America first and a neo-imperial logic of leverage. The second ideational move is the embedding of rights re-specification within a broader America First geostrategy. The foreign-policy architecture is presented as a correction to “globalism” ([US Department of State, 2026](#), p. 3), with multilateral institutions engaged only where they advance US interests. The State Department plan frames Agenda 2030 and the Sustainable Development Goals as “soft global governance” adverse to sovereignty ([US Department of State, 2026](#), p. 6), while Mandate for Leadership recommends withdrawal from or defunding of multilateral bodies and grounds rights diplomacy in sovereignty and “authentic” rights ([The Heritage Foundation, 2023](#), p. 191ff.). In this framing, the SDGs, ESG and DEI are recast from elements of responsible business governance into external constraints on national sovereignty, market autonomy and domestic political priorities.

This matters for business and human rights because multilateral institutions, international standards and transnational accountability mechanisms have historically provided part of the normative infrastructure. Through this infrastructure, corporate responsibility is articulated. When these institutions are delegitimised, corporate responsibility becomes more vulnerable

to selective enforcement, geopolitical bargaining and strategic reinterpretation. The result is a shift from corporate responsibility as alignment with international norms towards corporate responsibility as alignment with state-defined political priorities.

America First combines “peace through strength” (US Department of State, 2026, p. 1) with selective intervention thresholds, economic leverage and technological dominance. The “Western Hemisphere” (US Department of State, 2026, p. 7) is positioned as the primary arena for a hierarchical strategy built on US primacy and conditional engagement. The National Security Strategy commits to “reassert and enforce” the Monroe Doctrine through a “Trump Corollary”, denying extra-hemispheric competitors control over strategically vital assets (The White House, 2025, p. 6). The State Department plan escalates this through a “Donroe Doctrine”, claiming “absolute primacy” and seeking to roll back rivals through commerce, investment, debt instruments and control of chokepoints such as the Panama Canal (US Department of State, 2026, p. 6f.). The National Defence Strategy signals military options to guarantee US access to key commercial and military terrain such as the Gulf of America and Greenland and to advance US interests (US Department of War, 2026, p. 3).

This is where the Trump II agenda moves beyond deregulation and becomes neo-imperial in structure: environmental, social and human-rights regulation is weakened, while access to markets, finance, technology, infrastructure and strategic assets becomes increasingly conditional on alignment with US interests. Business and human rights are therefore drawn into a broader architecture of conditionality: firms, investors, suppliers and other states may face pressure to align with US strategic priorities, while corporate responsibility commitments that conflict with those priorities may be treated as illegitimate, hostile or politically suspect. For MNEs, the core issue is not just exposure to changing regulation, but exposure to a shifting hierarchy of permissible corporate conduct. Human-rights commitments, ESG policies, technology partnerships and investment decisions may become politically consequential because they signal alignment or non-alignment with competing geopolitical strategies.

4.2.3 Domestic implications for business and human rights in the US. Domestically, Trump II reshapes business-and-human-rights governance through selective prioritisation, administrative and fiscal steering, sharper federal–state fragmentation and the politicisation of accountability infrastructures. Anti-DEI priorities are translated into governance through contracting, funding and enforcement mechanisms. Government agencies, corporations, universities and civil society organisations face pressure to end or revise DEI programmes, while equal-opportunity frameworks are recast as discriminatory. Regulation is therefore not simply reduced; it is redirected towards dismantling forms of corporate responsibility associated with equality, inclusion and social accountability.

Drimmer and Aftab (2025) anticipate uneven federal engagement across issue areas and sustained state-level divergence, producing a jurisdiction-dependent compliance landscape. They also anticipate continued or intensified action on forced-labour import bans and anti-trafficking laws, alongside worker-protection measures framed as defending American workers against unfair competition. For firms, this creates a compliance environment shaped by selective enforcement and political contestation. Supply-chain due diligence may remain highly consequential where it intersects with forced labour, import restrictions, sanctions or trade policies, even as broader due diligence commitments become politically vulnerable where associated with ESG, DEI or foreign regulatory agendas.

Civic space, immigration enforcement and accountability infrastructures further complicate the domestic landscape. Amnesty International (2025b) documents Immigration and Customs Enforcement (ICE) raids and detentions and reports the use of force during demonstrations. For employers, these dynamics can reshape labour supply, heighten worker

vulnerability and intensify stakeholder scrutiny around migrant labour, workplace vulnerability, freedom of association, protest rights and community impacts. At the same time, data sets, reporting practices, disparity measurements, labour-market analysis, climate-risk assessment and sustainability disclosure systems may themselves become contested. These instruments make corporate responsibility visible and auditable; if weakened or delegitimised, harms become harder to document and accountability becomes easier to contest.

For MNEs, federal retrenchment does not remove legal, operational or reputational exposure. Instead, it multiplies the arenas in which firms must interpret conflicting expectations. A company may face federal pressure to abandon or relabel DEI and ESG commitments while still being exposed to state-level rules, investor expectations, contractual obligations, EU due diligence requirements, civil society scrutiny and international standards such as the UNGPs. The result is a less coherent but more volatile responsibility regime, in which some risks, particularly forced labour, trafficking, sanctions and trade-linked enforcement, become more salient, while others, including DEI, ESG, climate responsibility and broader due diligence, become politically contested.

4.3 International implications: reconfiguring the human rights ecosystem

Internationally, Trump II reconfigures the business and human rights ecosystem through disengagement from multilateral mechanisms, politicised human rights benchmarks, coercive bargaining and destabilising signals about territorial integrity and strategic infrastructure. Withdrawal from, or non-participation in, multilateral mechanisms reduces routine scrutiny while making rights claims more selectively deployable. The US did not participate in its UN Universal Periodic Review in November 2025 ([Paccamiccio and McKernan, 2025](#)). At the same time, [Yager \(2025\)](#) characterises the revised approach to State Department human-rights reporting as narrowed and ideologically redirected, while [Williams \(2025\)](#) reports that the Trump II administration was scaling back the State Department's annual reports and redirecting attention towards restrictions on freedom of expression among both partners and rivals.

For firms, human rights are increasingly recast from a common, universally applicable benchmark into a contested geopolitical category. This creates uncertainty about when human rights language will be used to justify sanctions, conditionality, trade enforcement or reputational pressure. [Amnesty International \(2025b\)](#) frames foreign-aid cuts and withdrawals from multilateral institutions as weakening humanitarian and human-rights capacity while shifting emphasis towards bilateral deals. In the context of Russia's full-scale invasion of Ukraine and subsequent US-Russia talks over Ukraine's future, conducted without Ukraine's direct participation, [Stern and Khudov \(2026\)](#) show how sanctions relief and long-term economic projects can become negotiating currency. Diplomatic bargains can therefore redraw the boundary between legitimate commerce and complicity related to human-rights violations.

Territorial integrity and access to strategic infrastructure are also treated with unusual explicitness. [Goettlich \(2025\)](#) notes that debate on territorial integrity is sharpened by US presidential threats concerning Canada, Greenland and the Panama Canal. [Foreman \(2026\)](#) characterises this approach as a form of "gunboat diplomacy", in which threats are used as leverage over strategic assets and access routes. Human rights also appear less salient as an explicit objective in regime-change politics; diplomacy is instead framed around sanctions relief, market access, energy concessions and investment opportunities, including in relation to states such as Venezuela, Russia and Iran and emerging club-like formats such as the Board for Peace ([Magid, 2026](#)).

These developments strengthen the neo-imperial dimension of the argument. Multilateral human-rights governance is weakened, while rights, infrastructure, territory, investment and market access become part of a more hierarchical geopolitical settlement. For MNEs, this creates uncertainty around strategic assets, infrastructure corridors, ports, digital platforms, energy systems and other strategic nodes where business activity intersects with geopolitical interests and control. This also links back to the EU-focused dynamics discussed earlier: where US pressure contributes to the dilution of EU due diligence rules, business and human rights governance becomes exposed to the same rollback mechanisms as environmental governance, including competitiveness framing, claims of regulatory overreach, corporate lobbying and geopolitical bargaining.

4.4 *Implications for multinational enterprises and conclusions*

The shift in US government orientation under Trump II does not remove corporate exposure to business-and-human-rights expectations. Firms continue to be evaluated against internationally recognised standards, notably the UN Guiding Principles on Business and Human Rights ([United Nations Human Rights Council, 2011](#)), widely treated as a minimum baseline. What changes is the governance environment in which these expectations must be operationalised. DEI and ESG may be framed as illegitimate or discriminatory in parts of the US policy environment, while due diligence, sustainability disclosure and value-chain accountability continue to be demanded elsewhere, especially in the EU and by investors, civil society organisations and international standard-setting bodies.

This turns business and human rights management into a strategic governance problem, rather than a narrow compliance task. It can no longer be treated as a specialised legal or CSR function. It now spans legal, human resources, compliance, procurement, communications, investor relations and government affairs. Firms must be able to explain how their human-rights commitments relate to labour standards, equality, supply-chain governance, climate transition, sanctions exposure and political-risk management. In a fragmented regulatory environment, the absence of such integration increases the risk of inconsistency, symbolic compliance and opportunistic retreat.

Firms will not respond uniformly. Some may actively support or lobby for rollback where it reduces compliance costs, weakens accountability obligations or aligns with political and commercial interests. Others may use the anti-ESG and anti-DEI turn to justify retrenchment from previous commitments. Conversely, some firms may maintain stronger due diligence systems because of EU regulation, investor expectations, consumer scrutiny, supply-chain exposure or civil society pressure. The result is a fragmented corporate field in which firms selectively support, maintain, dilute, conceal or repoliticise their human-rights commitments.

The human-rights implications of Trump II therefore reinforce the broader argument of this paper. Sustainability rollback is not confined to environmental regulation, nor is rule-of-law backsliding confined to constitutional politics. Both are visible in the redefinition of corporate responsibility itself. Human rights, sustainability and due diligence are increasingly exposed to the same pressures: competitiveness narratives, deregulation, geopolitical bargaining, corporate lobbying and selective enforcement. For MNEs, the resulting challenge is not merely to comply with divergent legal regimes, but to operate in a world where the legitimacy of corporate responsibility is itself politically contested. For IB scholarship, this requires treating business and human rights not only as a normative or compliance field, but as a site where institutional fragmentation, corporate strategy and geopolitical hierarchy intersect.

5. Conclusion

This paper examines how the Trump II administration is reshaping the regulatory, political and normative conditions under which MNEs operate. Building on debates about rule-of-law erosion, institutional fragility and bad-faith governance (Driesen, 2018; Tamanaha, 2025; Zurn *et al.*, 2012), the paper argues that the current conjuncture should not be understood merely as short-term policy reversal or temporarily heightened political risk. While international business scholarship has long examined how firms respond to political risk, institutional difference, non-market environments and globalisation discontents (Adarkwah and Benito, 2023; Frynas *et al.*, 2017; Hadjikhani and Ghauri, 2001; Sinkovics *et al.*, 2018), the Trump II era points to a more fundamental destabilisation of the legal, institutional and epistemic conditions on which responsible international business depends. The central concern is therefore not only how MNEs adapt to shifting regulation, but how firms, states and political actors participate and perhaps even support the weakening, contestation or defence of sustainability, human-rights and due-diligence governance.

Curran's contribution shows how this destabilisation becomes visible in the politics of EU sustainability regulation. The debate around the Corporate Sustainability Due Diligence Directive illustrates how regulation designed to address the environmental, social and human-rights externalities of GVCs can be recast as a competitiveness problem under conditions of geopolitical pressure and economic insecurity (Curran *et al.*, 2026). This resonates with work on non-market strategy and socio-political environments but also pushes this literature further by showing that firms are not merely rule-takers adapting to institutional constraints. Rather, they may actively seek to reshape, dilute or defend the rules that structure responsible business conduct (Frynas *et al.*, 2017).

While IB scholarship increasingly recognises the possibility of values-driven and deeply responsible business leadership (Jones, 2023; Jones *et al.*, 2025), Curran's analysis also resonates with more critical accounts of orchestrating MNEs in GVCs, where lead firms may benefit from, reproduce or strategically manage the externalities generated by cross-border production systems (Forsgren and Yamin, 2026). The tension between business actors supporting rollback and those defending stronger regulation therefore raises important questions about corporate agency, regulatory capture and the uneven distribution of voice and access in sustainability governance.

Montero-Teran's contribution locates regulatory rollback within the deeper contradictions of neoliberal capitalism. Drawing on critical accounts of neoliberalism, it treats Trump-era deregulation, protectionism and fossil-fuel support not as an aberration, but as an intensification of growth-oriented capitalism (Brown, 2015; Fine and Saad-Filho, 2016; Harvey, 2025; Monbiot and Hutchison, 2024) and a defence of the indefensible (Freese, 2020). This sharpens the challenge for SDG-oriented and responsible IB scholarship: if ecological overshoot and social inequality structurally produce these issues, then firm-level responsibility and voluntary sustainability initiatives are insufficient unless they also confront the political-economic conditions that reproduce those harms (Sinkovics *et al.*, 2022; Steffen *et al.*, 2015).

Zagelmeyer extends this analysis to business and human rights, showing how the Trump II environment politicises and selectively redeploys rights, due diligence, ESG and DEI. Building on work that treats human rights as a contested category (Dembour, 2010), and on earlier analyses of business and human rights under Trump I (Ganesan, 2018; Regilme, 2022), the contribution shows that Trump II does not simply weaken regulation. It fragments the normative terrain through which corporate responsibility is defined. Although the UN Guiding Principles on Business and Human Rights remain a baseline for corporate responsibility, firms now face an environment in which human-rights commitments may be

required in some jurisdictions, contested in others and reframed through national-interest or geopolitical logics (United Nations Human Rights Council, 2011). This resonates with Burmester *et al.* (2026), in this issue, of “new rules and no rules” under Trump, where MNEs face paradoxical voids and dual-embeddedness challenges as they navigate simultaneously intensified and eroded institutional expectations.

These arguments point to three future research directions for international business scholarship. Firstly, IB research should examine how firms, states, business associations, investors and civil society actors jointly produce, contest and reshape governance frameworks. This would extend existing work on political risk, non-market strategy and socio-political environments by treating regulatory instability not only as an external condition, but also as an outcome of strategic interaction among corporate and political actors (Adarkwah and Benito, 2023; Frynas *et al.*, 2017). Secondly, future research should investigate variation in corporate responses to rollback. Some MNEs may lobby for deregulation, reduce or relabel ESG and DEI commitments, engage in symbolic compliance or use regulatory fragmentation for arbitrage; others may maintain stronger sustainability and due-diligence systems because of investor expectations, value-chain exposure, civil society pressure or commitments to deeply responsible business (Freese, 2020; Jones, 2023; Jones *et al.*, 2025). This variation also connects with the “self-preservation” perspective of Buzdugan *et al.* (2026), which suggests that MNEs may mobilise political power to protect market positions, assets and strategic advantages, even where this produces negative societal outcomes. Such a lens is useful for analysing rollback not only as a matter of opportunistic profit-seeking, but as a structural form of corporate self-protection under conditions of political and economic threat. Recent global strategy work usefully reopens the question of whether MNEs should care about development (Larsen *et al.*, 2026), but the question risks remaining largely rhetorical unless it is connected to diagnostic frameworks capable of distinguishing symbolic responsibility claims from substantive developmental contributions and better-targeted interventions (Sinkovics *et al.*, 2021). Thirdly, IB scholars should examine how these dynamics affect actors beyond the US–EU axis, particularly suppliers, workers, communities and regulators in the Global South. Since GVCs transmit regulatory change across jurisdictions, the dilution of sustainability and due-diligence obligations in powerful economies may have consequences for those in more dependent positions within global production networks (Sinkovics and Sinkovics, 2019). This is especially important because firms in adverse contexts may depend on knowledge connectivity, upgrading opportunities and relational positioning within GVCs, all of which can be affected when lead firms reinterpret or weaken responsibility commitments (Choksy *et al.*, 2026; Sinkovics *et al.*, 2019).

The broader implication is that IB scholarship needs to engage more directly with the political, legal and epistemic conditions that make responsible international business possible. Conventional frameworks centred on market entry, institutional difference, political risk and firm-level adaptation may remain useful to a certain degree, but they are insufficient when law, evidence, multilateralism and corporate responsibility themselves become objects of political contestation. A critical IB agenda for the Trump II era therefore requires closer engagement with scholarship in international political economy, business and human rights, climate governance and GVCs. It also requires sustained attention to the power relations through which sustainability and human-rights governance are advanced, resisted or rolled back.

Data availability

This study is conceptual in nature and does not rely on original empirical data. All materials and sources used in the development of the arguments are publicly available and are fully listed in the references section of the paper.

- [1.] The website www.we-support-the-csddd.eu/keeps a tally of the statements of business groups and individual companies that have come out in support of CS3D.

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